

PROBLEM:

“Are cash flow indicators more effective than profitability indicators in predicting bankruptcy?”

**PROFITABILITY
BEATS CASH FLOW**
FOR EARLY WARNING



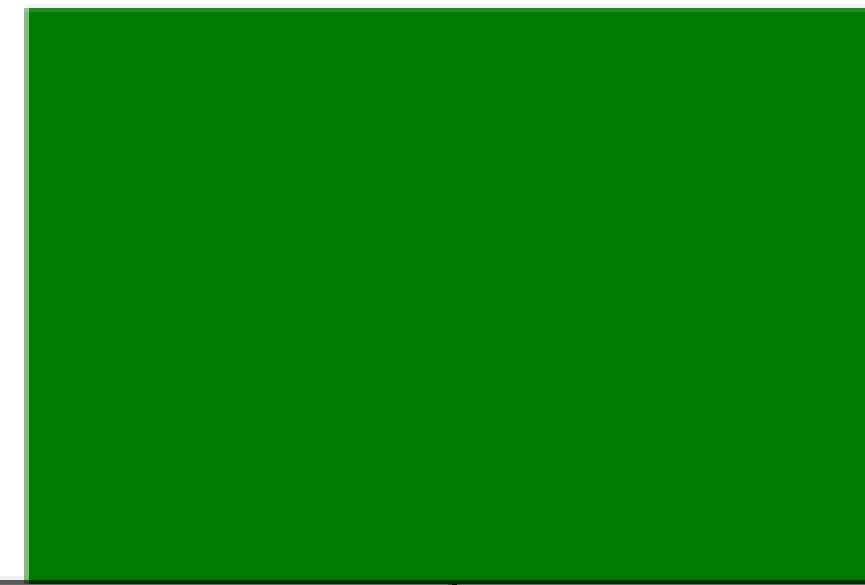
Profitability vs Cash Flow

0.67



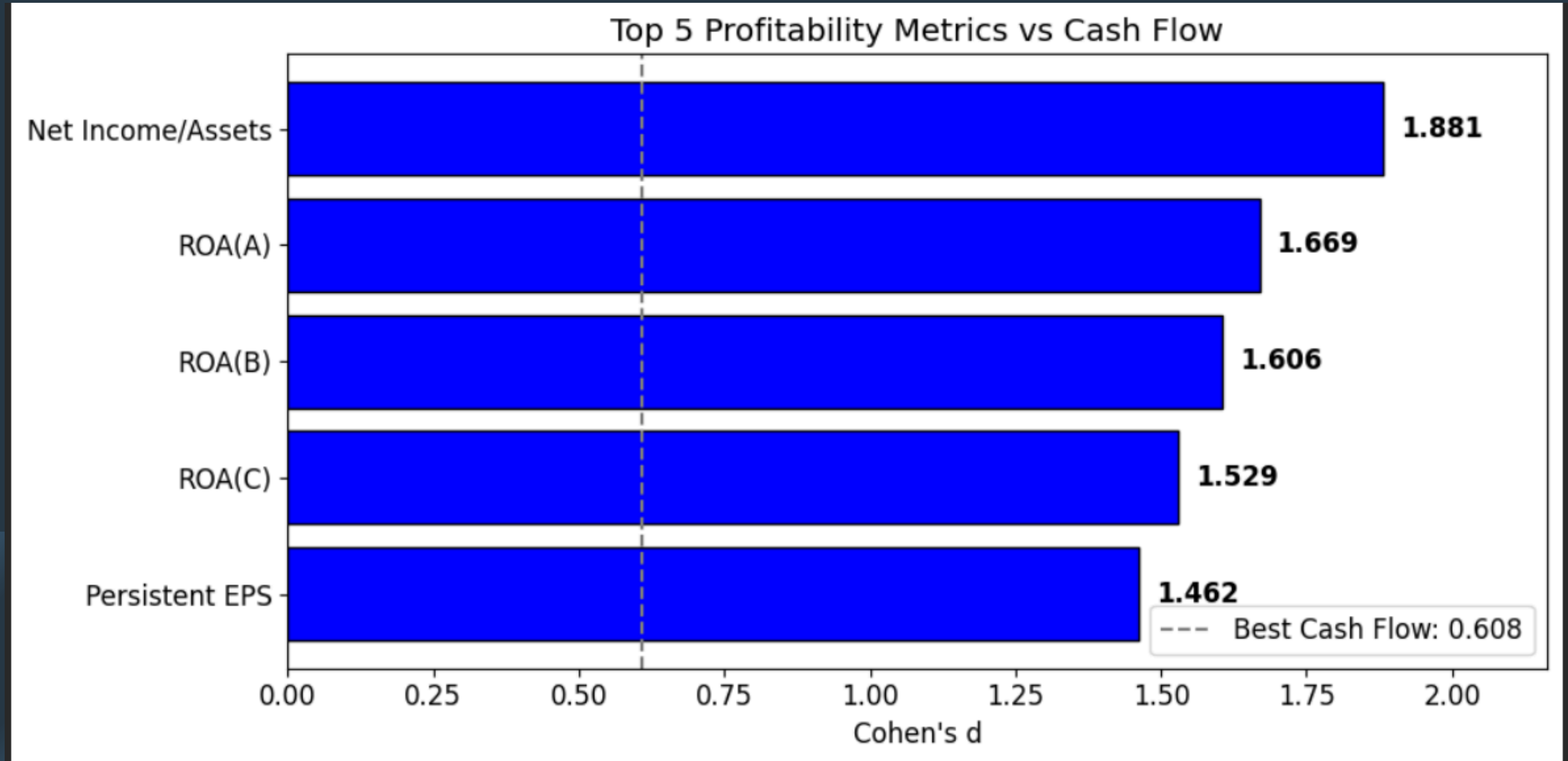
Profitability

0.33



Cash Flow

MORE EVIDENCE





Profitability



Combined



Cash Flow